	Equity share Allotment A/c (10,000 × 4)	Dr.		40,000	
	To Equity share capital A/c				40,000
	(Allotment money due)				
	Bank A/c (40,000-20,000)	Dr.		20,000	
	To Equity share allotment A/c				20,000
	(Allotment money received)				
	Equity share first call A/c (10,000 × 2)	Dr.		20,000	
	To Equity share capital A/c				20,000
	(First call money due)				
	Bank A/c	Dr.		20,000	
	To Equity share first call A/c				20,000
	(First call money received)				
	Equity share second and final call A/c (10,000 × 2)	Dr.		20,000	
	To Equity share capital A/c				20,000
	(Share second and final call due)				
	Bank A/c (9,400 × 2)	Dr.		18,800	
	To Equity share second and final call A/c				18,800
	(Second and final call money received on 9,400 shares)				
	Equity share capital A/c (600 × 10)	Dr.		6,000	
	To Equity share second and final call A/c (600 × 2)				1,200
	To Forfeited shares A/c (600 × 8)				4,800
	(Shares forfeited for nonpayment of final call money)				
	Bank A/c (400 × 7)	Dr.		2,800	
	Forfeited shares A/c (400 × 3)	Dr.		1,200	
	To Equity share capital A/c				4,000
	(400 forfeited shares reissued at ₹ 7 per share)				
	Forfeited shares A/c	Dr.		2,000	
	To Capital reserve A/c				2,000
	(Gain on reissue credited to capital reserve A/c)				

Working note:

Amount forfeited for 600 shares = ₹ 4,800

Amount forfeited for 400 shares = $\frac{4,800}{600} \times 400$ ₹ 3,200

Less: Loss on reissue	1,200
Net gain transferred to capital reserve	2,000

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